

Economics — PREVIEW

Course: CIFA — Certified Investment & Financial Analysts | Level: Foundation Level
This is a free preview covering the introduction and Section 1 only.

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1. Nature and scope of economics

Economics is the study of how individuals, firms, and societies allocate scarce resources among competing uses to satisfy unlimited wants.

1.1 Microeconomics vs macroeconomics

Branch	Focus	Example question
Microeconomics	Individual decision-making units – consumers, firms, markets	Why does the price of a particular stock's underlying commodity rise?
Macroeconomics	The economy as a whole	Why is Kenya's inflation rate rising?

1.2 Basic economic problem

Scarcity forces every economy to answer three questions: what to produce, how to produce it, and for whom to produce it.

1.3 Opportunity cost

The value of the next best alternative forgone when a choice is made. Central to economic reasoning: every decision, by an individual, firm, or government, has an opportunity cost.

Unlock the full paper

The complete version includes demand/supply analysis, elasticity, market structures, national income, money and banking, fiscal and monetary policy, international trade, and the link between economics and investment analysis — plus a full worked question and a 10-question original self-assessment kit with model answers.

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